

for less than their net cash. It has sometimes been derided as “picking up cigar butts.” After a while, however, with urging from his partner, Charlie Munger, he switched to emphasizing high-quality companies with protective “moats” and pricing power, led by outstanding people, at reasonable (but not necessarily giveaway) prices.

It was long an aspect of Warren’s approach to eschew companies that were capital-intensive, but he was able to overcome that bias to buy the Burlington Northern Santa Fe railway and take advantage of its economic sensitivity coming out of the 2008 financial collapse, and the outlook for increasing rail carriage.

A philosophy should supply guidance but not rigidity. This—like many other things in investing—is a tough dilemma to master.

Warren doesn’t shrink from the challenge, neither changing with every new fad nor letting his thinking get stuck in cement.

- **He’s unemotional.** Many of the obstacles to investment success relate to human emotion; the main reason for the failure of the Efficient Market Hypothesis is that investors rarely satisfy the requirement of objectivity. Most become greedy, confident, and euphoric when prices are high, causing them to celebrate their winners and buy more rather than take profits. And they get depressed and fearful when prices are low, causing them to sell assets at bargain prices and invariably discouraging them from buying. And perhaps worst of all, they have a terrible tendency to judge how they’re doing based on how others are doing, and to let envy of others’ success force them to take additional risk for the simple reason that others are doing so. Envy is enough to make people follow the crowd, even into investments they know nothing about.

Warren appears absolutely immune to these emotional influences. He doesn’t get overjoyed when things appreciate, or downcast when they don’t, and for him success is clearly defined by himself, not the masses or the media. He doesn’t care whether others think he’s right, or whether his investment decisions promptly make him look right. (He was written off as “past his prime” early in 2000 because of his failure to participate in what turned out to be the tech bubble, but he